

Table 3.14

<i>Portfolio Strategies Across U.S. Government Bonds, U.S. Corporate Bonds, U.S. Stocks, International Stocks, 1978–2011</i>				
	<i>Raw Return</i>	<i>Volatility</i>	<i>Sharpe Ratio</i>	<i>Comments</i>
Mean-Variance Weights	6.06	11.59	0.07	Maximizes Sharpe ratio
Market Weights	10.25	12.08	0.41	
Diversity Weights	10.14	10.48	0.46	Uses a transformation of market weights
Equal Weights (1/4)	10.00	8.66	0.54	
Risk Parity (Variance)	8.76	5.86	0.59	Weights inversely proportional to variance
Risk Parity (Volatility)	9.39	6.27	0.65	Weights inversely proportional to volatility
Minimum Variance	7.96	5.12	0.52	
Equal Risk Contributions	7.68	7.45	0.32	Equal contribution to portfolio variance
Kelly Rule	7.97	4.98	0.54	Maximizes expected log return
Proportional to Sharpe Ratio	9.80	9.96	0.45	
<i>Average Asset Weights</i>				
	<i>U.S. Govt Bonds</i>	<i>U.S. Corp Bonds</i>	<i>U.S. Stocks</i>	<i>International Stocks</i>
Mean-Variance Weights	0.74	−0.05	0.06	0.25
Market Weights	0.14	0.08	0.41	0.37
Diversity Weights	0.19	0.15	0.33	0.32
Equal Weights (1/4)	0.25	0.25	0.25	0.25

continued